



President's Report

Ramon S. Monzon

President & CEO

The Philippine Stock Exchange, Inc.



Presentation Outline

Stock Market Performance

Financial Performance

Update on Initiatives



Stock Market Performance

PSEi Performance



Source: PSE Data

Year to date

6,591.47 pts
on 31 Jul 2023 ▲ 0.4%

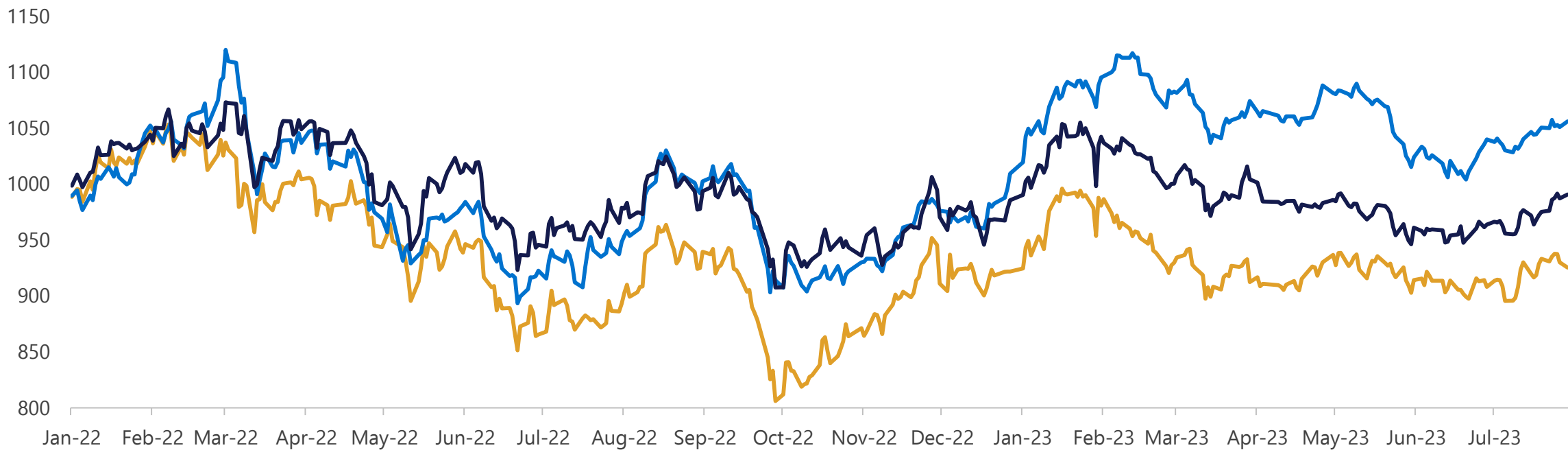
All-time high

9,058.62 pts
on 29 Jan 2018 ▼ 27.2%

2020 lowest close

4,623.42 pts
on 19 Mar 2020 ▲ 42.6%

New Indices (as of 31 Jul 2023)



YTD: ▲ 0.4%

YOY: ▲ 4.4%

Dividend Yield: 2.8%

Benchmark index of the Philippine stock market. Composed of the 30 largest and most active common stocks



YTD: ▲ 4.6%

YOY: ▲ 11.9%

Dividend Yield: 4.4%

Designed to capture the performance of the top 20 mid-sized companies in PSE



YTD: ▲ 0.5%

YOY: ▲ 1.4%

Dividend Yield: 6.5%

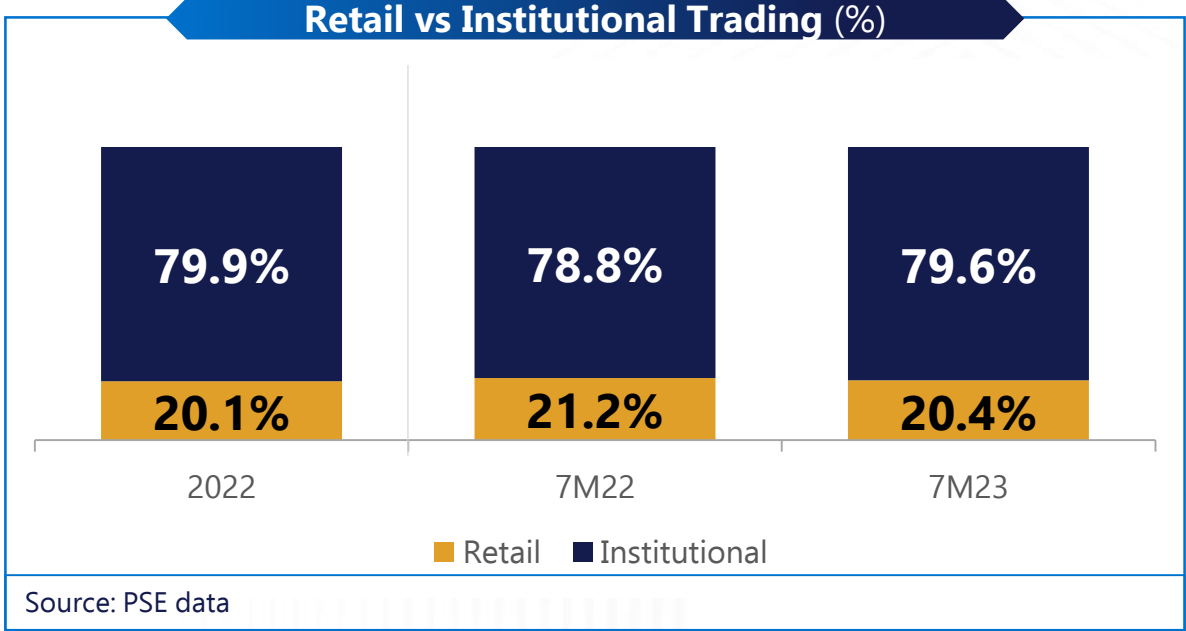
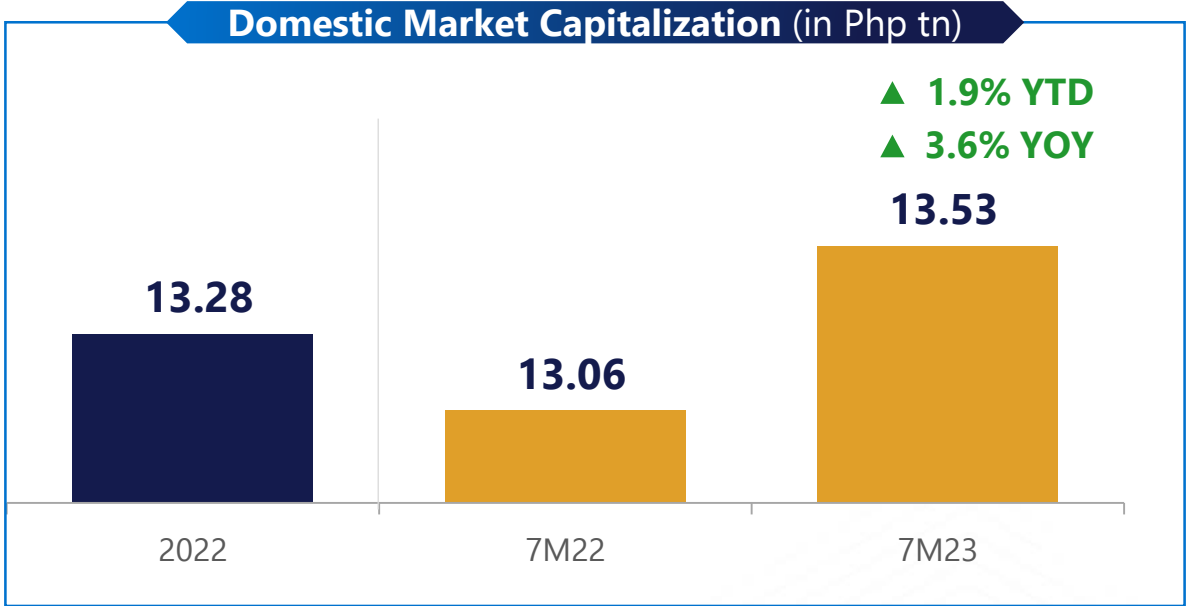
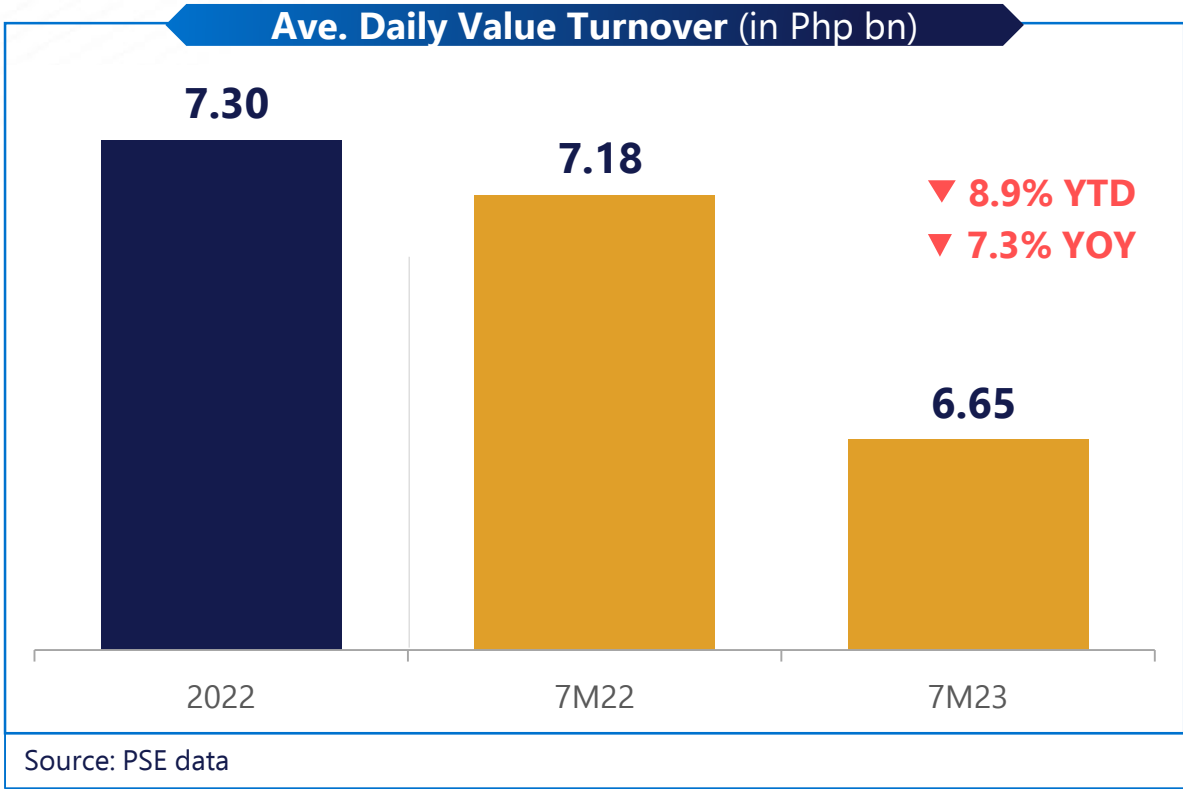
Focuses on the top 20 companies that consistently give high-yielding dividends

Source: PSE Data; Rebased to end-2021

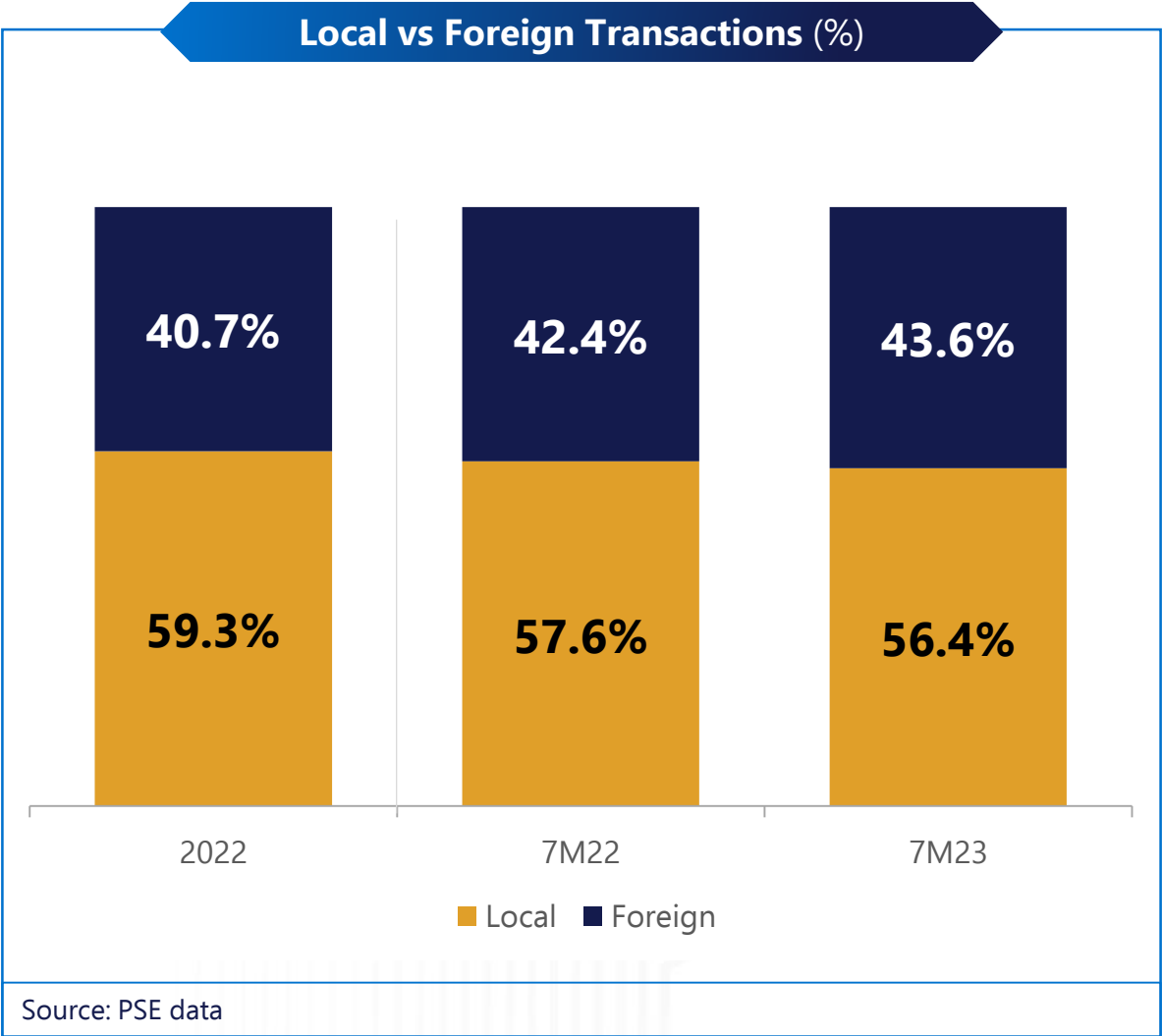
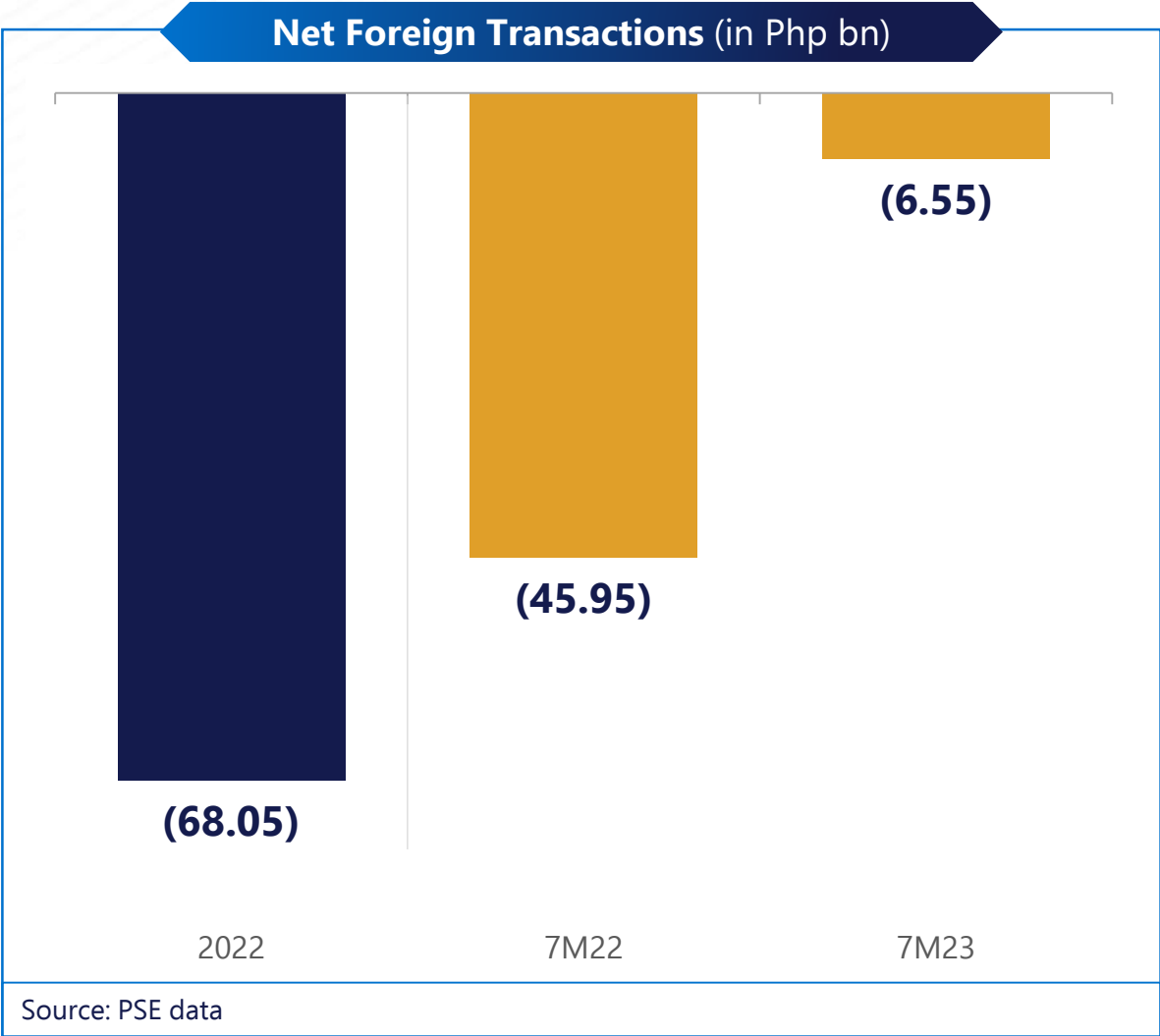
*Dividend Yield: Total cash trailing 12 months as of end-July 2023; MCAP as of end-July 2023

THE PHILIPPINE STOCK EXCHANGE, INC.

Key Stock Market Indicators



Key Stock Market Indicators



Capital Raising Activities

3 Initial Public Offerings

Alternergy Holdings Corporation
Php1.62 billion

Upson International Corp.
Php1.65 billion

Repower Energy Development Corporation
Php1.05 billion

3 Stock Rights Offerings

Union Bank of the Philippines
Php12.00 billion

SP New Energy Corporation
Php866.40 million

Philippine Business Bank
Php500 million

6 Private Placements

Suntrust Resort Holdings, Inc.
Php2.55 billion

Philippine Business Bank
Php1.25 billion

Greenery Holdings Incorporated
Php661.25 million

Primex Corporation
Php999.85 million

Lodestar Investment Holdings Corp.
Php276.50 million

Basic Energy Corporation
Php5.63 million

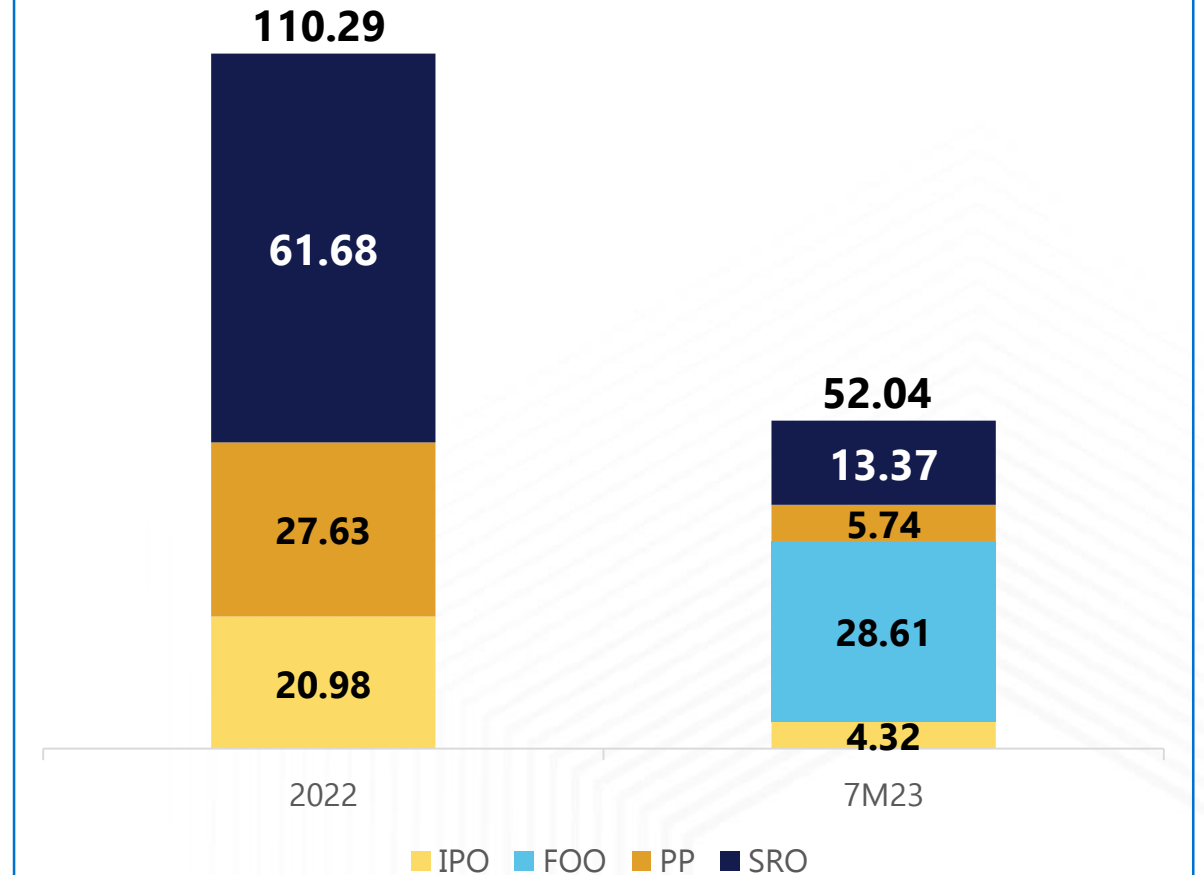
3 Follow-on Offerings

Megawide Construction Corporation
Php1.50 billion

Ayala Corporation
Php13.11 billion

Petron Corporation
Php14 billion

Capital Raised (in Php bn)



Capital Raising Pipeline

Approved/Awaiting Approval

Stock Rights Offering



Lepanto Consolidated Mining Company

Lepanto Consolidated Mining Company

Php2.02 billion

Follow-on Offering



ACEN

ACEN Corporation

Php25 billion

Private Placement



SAN MIGUEL CORPORATION

San Miguel Corporation

Php13 billion

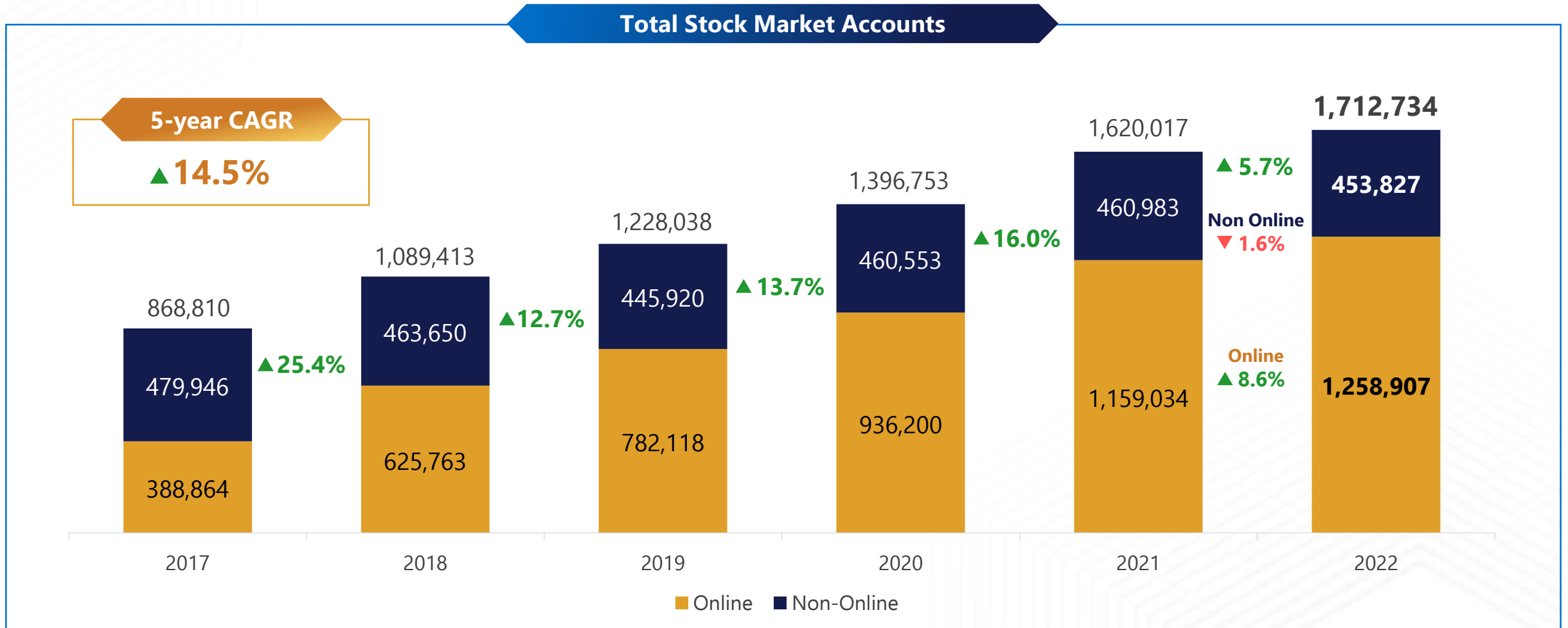
Total in Pipeline

Php40.02 billion

Pipeline + Current

Php92.06 billion

Investor Composition



The average value per online transaction rose by 33.2% to **Php46,236.40** in 2022 from Php34,701.80 in 2021.

Source: PSE data

Financial Performance

Consolidated Financial Performance

in Php mn	2021	2022	6M22	6M23	% Change
Operating Revenues	1,646.51	1,537.03	849.24	740.09	(12.9%)
Total Expenses	669.46	707.29	362.49	380.50	5.0%
Operating Income	977.06	829.75	486.75	359.59	(26.1%)
Investment Income	130.15	31.44	(93.76)	102.12	208.9%
Other Income	91.16	108.14	62.39	32.85	(47.4%)
Net Income	919.48	739.15	374.05	417.51	11.6%

6M23 vs 6M22

The PSE realized a net income after tax of Php417.51 million, 11.6% or Php43.46 million higher from Php374.05 million in the same period last year.

Financial Ratios

	2021	2022	6M23
Return on Assets	12.33	10.50	11.4*
Return on Equity	16.03	13.32	15.2*
Earnings per share (Php)	11.33	9.12	5.13****
Price per share (Php)	215.00	158.00	164.50
Price to Earnings Ratio	18.98x	17.33x	17.05x*
Dividends per share	11**	10***	
Dividend Yield (%)	5.3	6.2	

**trailing twelve months*

***paid on 04 April 2022 (Php4.00 regular ; Php7.00 special)*

****paid on 05 May 2023 (Php4.75 regular ; Php5.25 special)*

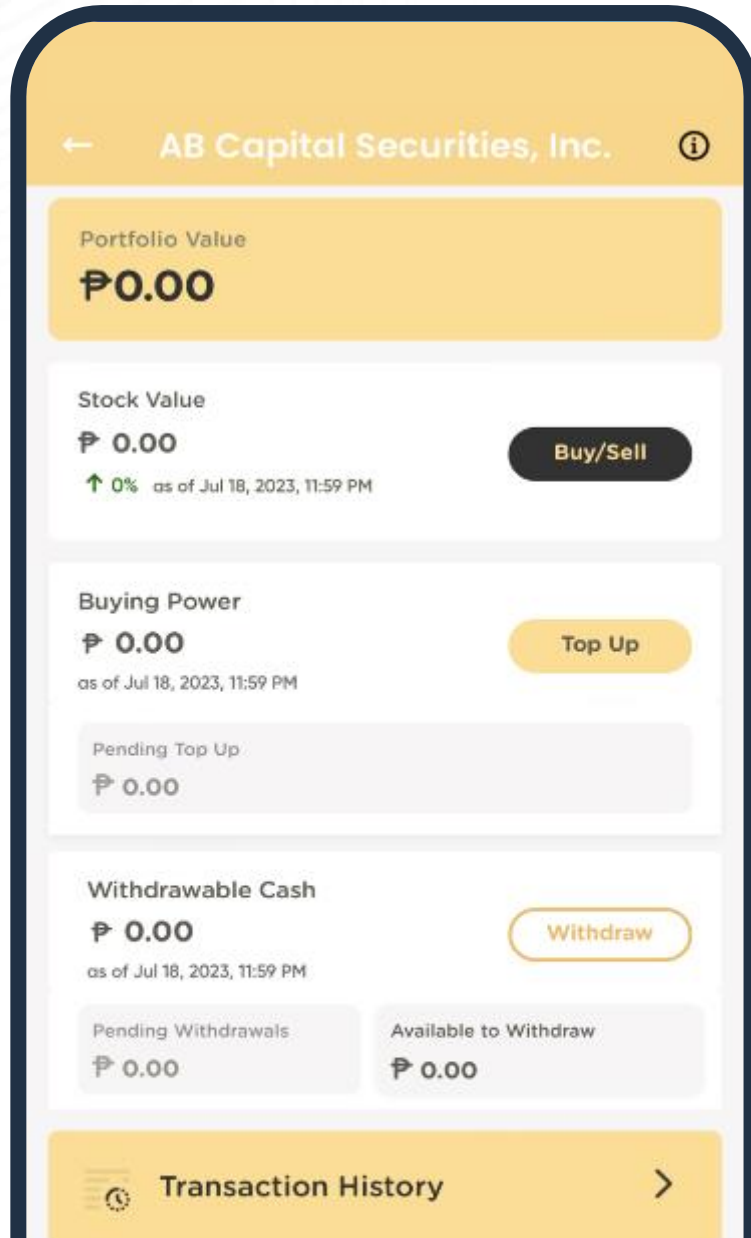
*****EPS for the six-month period*



Update on Initiatives

Initiatives for Investors

GStocks PH



GCash is a micropayment service channel that transforms the mobile phone into a virtual wallet for secure, fast, and convenient money transfer.

Features:

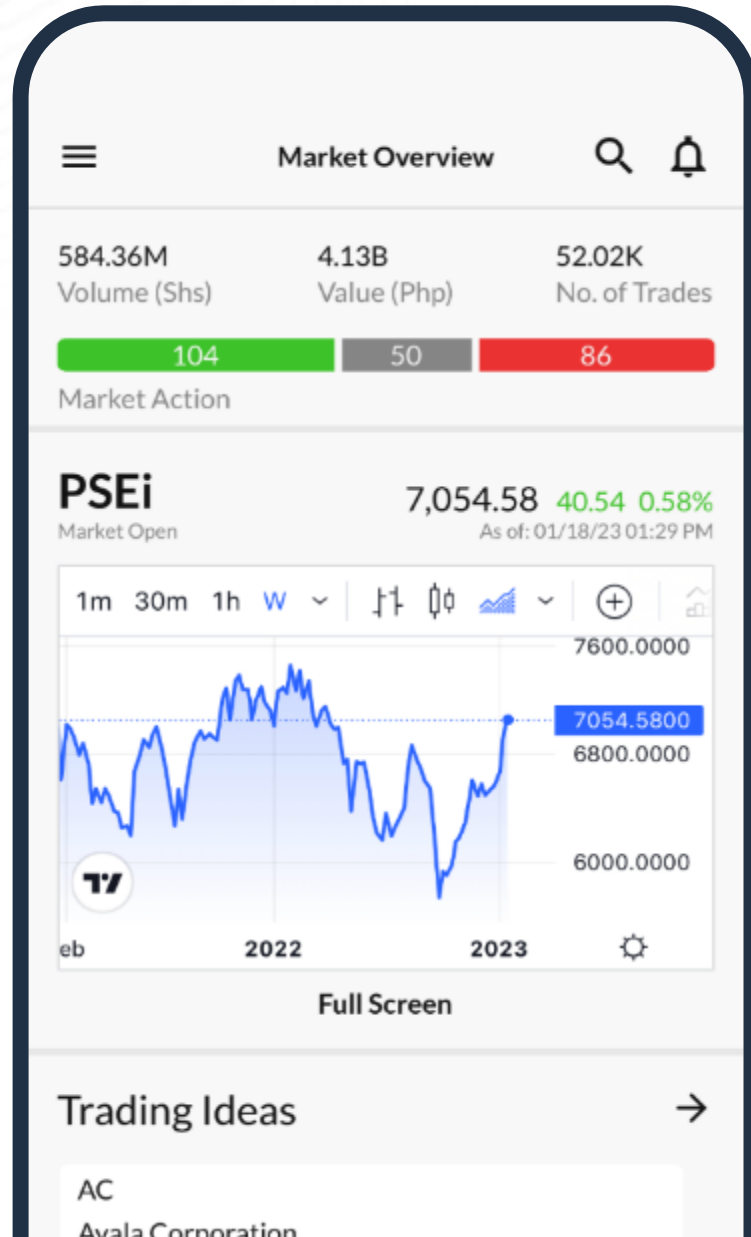
- ▶ Buy Prepaid Load
- ▶ Pay Bills
- ▶ Send Money
- ▶ Shop Online
- ▶ Get a Loan

as of March 30, 2023

77 million GCash users

This initiative aims to activate the untapped potential of the Philippine equities market by launching an in-app stock trading platform, with the PSE as a technology provider.

Data Analytics Platform



Download on:



The PSE Equities Information Platform (PSE EQUIP) is a data analytics platform developed specifically for retail investors to enable them to access comprehensive and reliable information on the Philippine stock market (i.e., democratize access to market data).

Soft Launched: March 9, 2023

Features:

- ▶ Real-time Market Data and News
- ▶ In-Depth Stock Analysis
- ▶ Stock Reports
- ▶ Personalized Portfolio
- ▶ Charting Tools

Status Updates

Under Development:

- ▶ Stock Screener
- ▶ Report Generator



The PSE EASy was first introduced by the Exchange in June 2019 to increase participation of Local Small Investors (LSI) in Initial Public Offerings (IPO). This shift to an online platform enabled investors from different provinces and countries, beyond the previous geographic scope of physical kiosks in Metro Manila, to subscribe to the LSI tranche of IPOs.

20 IPOs, 2 FOOs

KPPI | AXLM | FRUIT | MM | AREIT DDMPR | ALLDY | MEDIC | SPNEC | HTI | FCG | CREIT |
BNCOM | CTS | ASLAG | VREIT | BALAI | ALTER

SGP | KEEPR

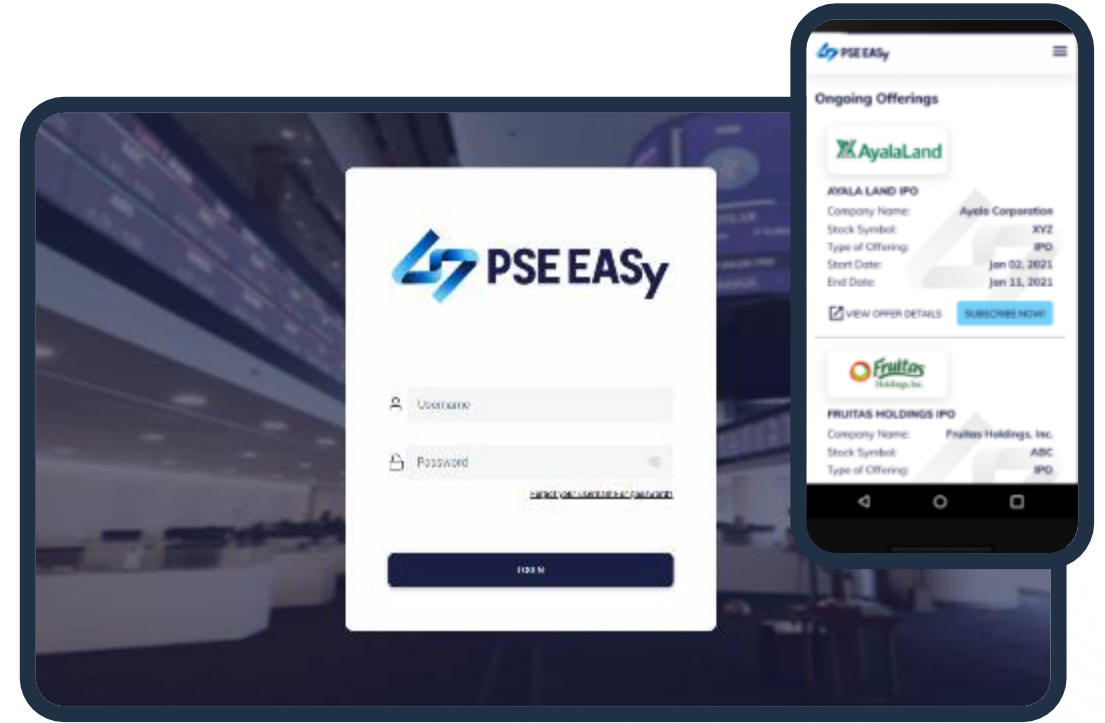
65%

Average across 20 initial and follow-on offerings, 5 of which were fully subscribed

vs.

10%

Average LSI take-up per IPO prior to PSE EASy



PSE EASy Phase 2

The Exchange is preparing to launch the second phase of PSE EASy to integrate **online payment** into the application.

Target Launch Date:

Q3 2023

PSE Expo Series

The online event covers a wide range of personal finance and investment-related topics for potential, new and existing investors that can help them achieve their financial goals and build their investing strategies for the year.



Investment Expo 2022

January 29-30, 2022

14,933 registered participants

60,000 webinar views



Investment Expo 2023

March 9-11, 2023

5,476 registered participants

17,123 webinar views

Engages and equips the next generation of investors with the essential financial and investing knowledge.



Campus Expo 2022

November 11, 2022

3,739 registered participants

320 colleges and universities

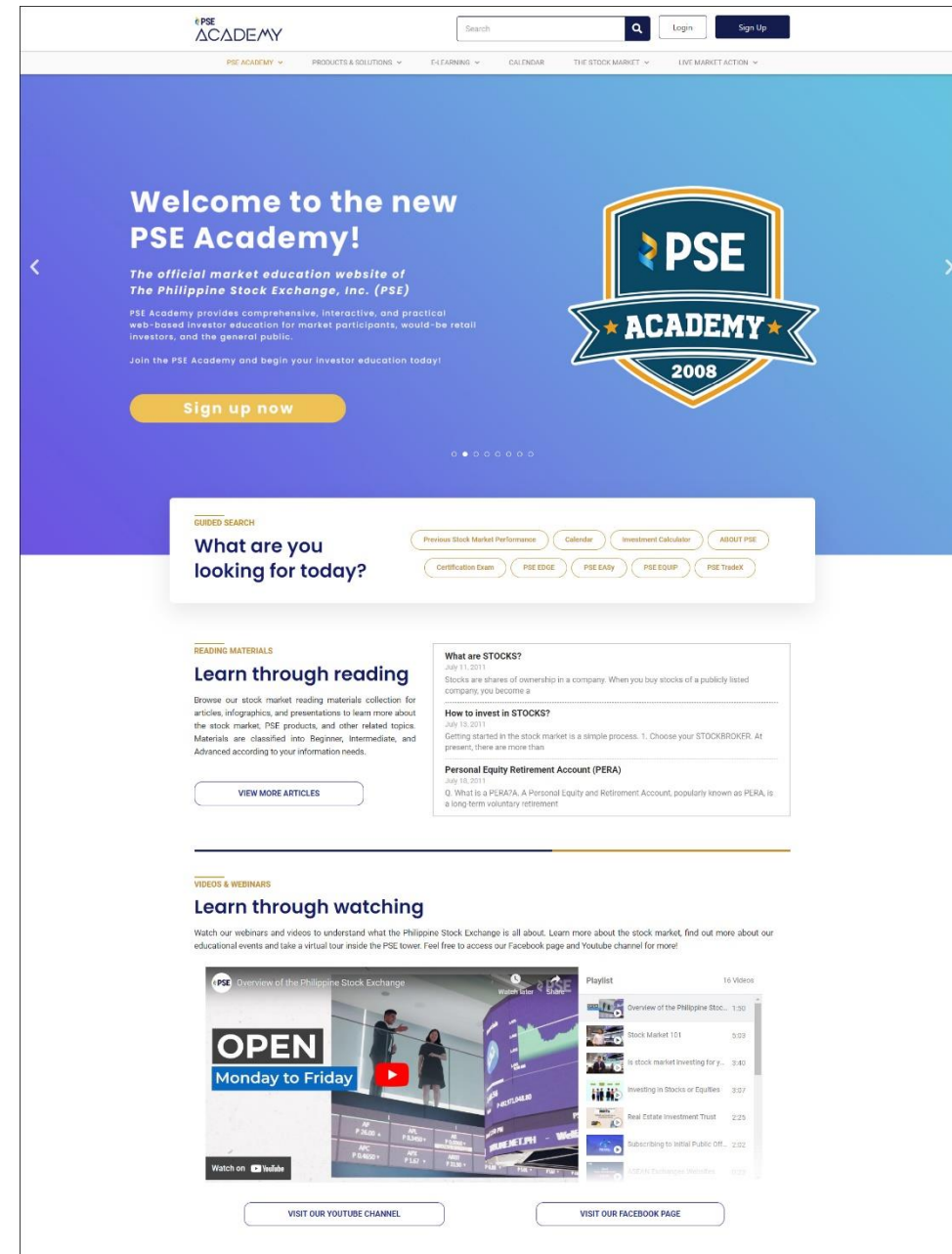


PSE Academy provides a comprehensive, interactive, and practical web-based investor education platform for market participants, equity investors, and the public in general

Key Web Features

- ▶ PSE Academy Online Stock Market Course
- ▶ PSE Online Library
- ▶ Reading and Video Learning Materials
- ▶ Live Market Action
- ▶ Investment Calculator
- ▶ Market Education Events Calendar
- ▶ Request and Schedule Trainings Online

Launched: March 9, 2023



Certified Securities Specialist Course

History of Partner Universities



796 graduates produced since 2007

6TH PSE DLS-CSB SPaCE Certified Securities Specialist Course

First online CSS course was held in 2021

Course Run

May 6 to Nov 18, 2023

Total number of participants

42 enrollees

UPCOMING

14th PSE Ateneo Certified Securities Specialist Course

Course Run

Sept 5, 2023 – Feb 8, 2024

PSE Stock Market Seminars and Exchange Visits



The PSE offers free on-site Stock Market Seminars and Exchange Visits for schools and corporates. The seminars aim to educate participants about the capital markets. The Exchange targets to conduct these seminars two to four times each month.

18 Total number of seminars and visits conducted in 2023

900 **Total number of participants**
Average of 50 participants per session

Initiatives for Listed Companies

STAR Investor Day



The PSE STAR (Strengthening Access and Reach) Investor Day is a platform for companies to communicate their plans and prospects to analysts and investors alike. The program aims to bring more attention to these non-index PLCs, drive liquidity, and encourage follow-on offerings.

2022

First run: May 25-26, 2022

261 average attendees per segment

Second run: Aug 16-18, 2022

276 average attendees per segment

1,552 total attendees for the whole series

2023

Q1 Reporting : May 9-10, 2023

150 average participants per session
360 total attendees

A total of 40 PLCs have participated since the start of the initiative

UPCOMING

1H Reporting : August 16-17, 2023

Q3 Reporting : November 2023

Investor Relations Workshop



x

Bloomberg

The Changing Role of the IRO

July 13, 2022

- The kick-off session focused on understanding stakeholders, tracking company and industry research, as well as peer analysis.
- The discussion was headed by Mr. Tim Daniels, Consultant for Investor Relations & Sustainability of SM Investments Corporation.

200 virtual and 40 onsite participants

Prospecting and Driving Investor Conversations

November 20, 2022

- Evolution of the IR profession
- Expectations of investors from IROs – A local and global perspective
- Regional offshore prospecting
- Tools and networks that IROs can leverage

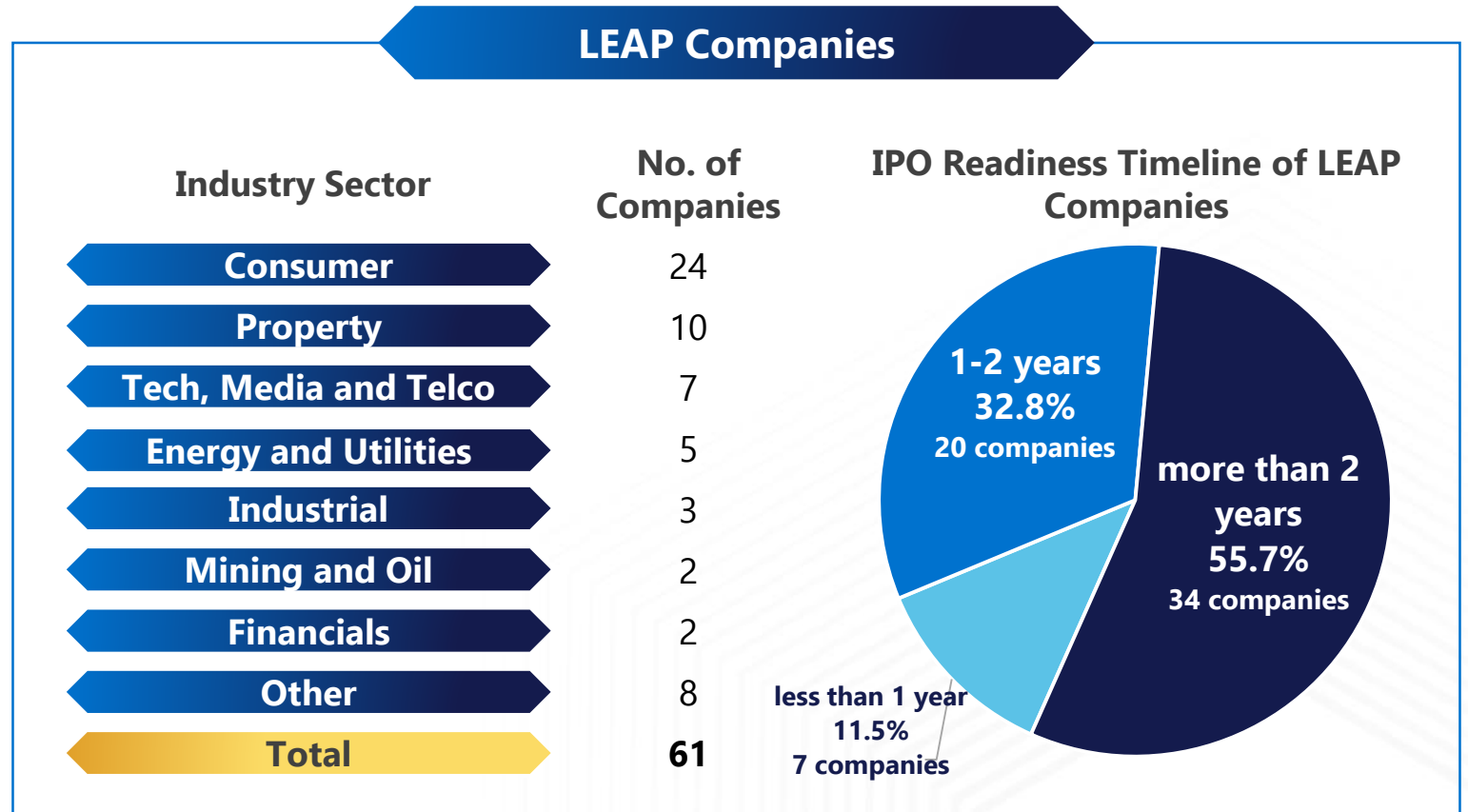
89 virtual and 29 onsite participants

Initiatives to Attract IPOs

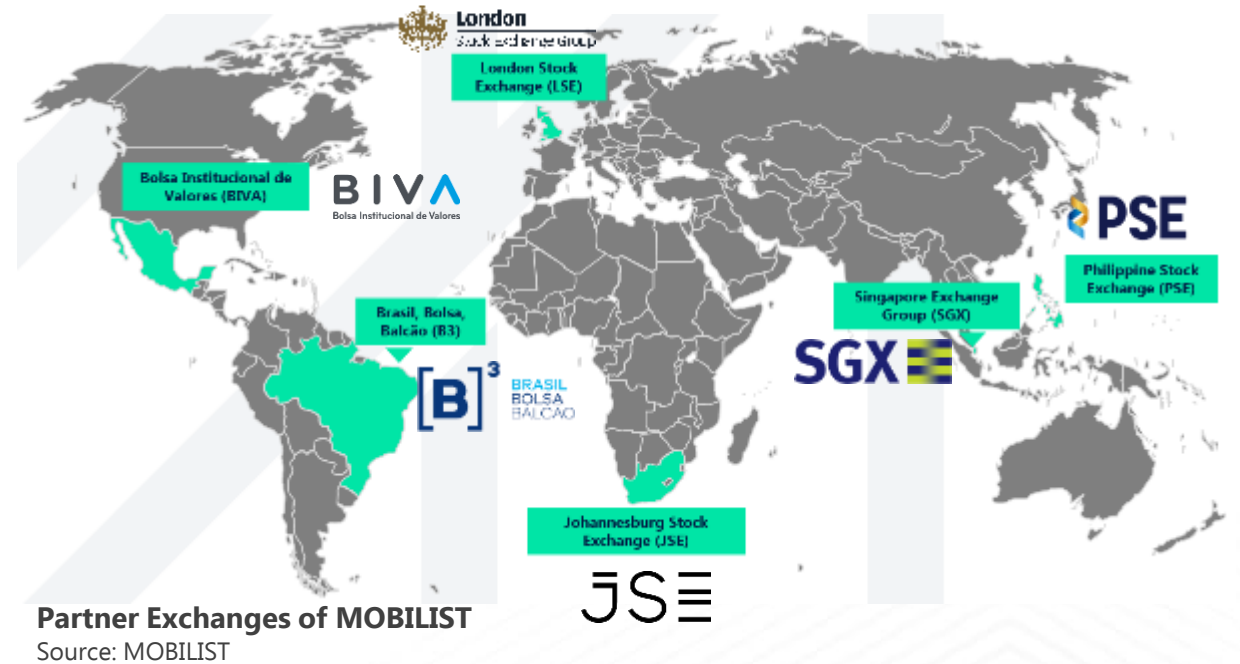
Listing Engagement and Assistance Program (LEAP)



- The PSE has a total of **61 companies** currently enrolled under its LEAP program to date.
- Under the program, the PSE conducts **one-on-one sessions with SMEs** to discuss growth plans and listing roadmap
- The PSE also **connects prospective issuers with IPO advisers (financial, legal, accounting)** for the preparation of their IPO.



Partnership with Mobilist



Mobilising Institutional Capital Through Listed Product Structures (MOBILIST), is a flagship UK public markets program that invests in emerging and frontier market investment products that support the climate transition and Sustainable Development Goals (SDGs).

On July 17, 2023 the PSE partnered with MOBILIST to enable **investments in sustainable development in the Philippines through products listed on the Exchange.**

Corporate Connect Series

A collaboration campaign between PSE and select partner advisors and institutions to drive IPO listing interest from their clients that are deemed ready to go public.

March 1

"Taking Your Company Public"



Event Partners:

AB Capital & Investment Corp., UnionBank
SME and Micropreneurs Segment

**139 Total Attendees ; 25 Potential
Listing Applicant Companies**

May 4

"Going Public: Building Your IPO Story"



Event Partner:

CloudArch Ventures

**139 Virtual Participants ;
22 Potential Listing Applicant
Companies (Onsite)**

May 11

"Get Ready to List"



Event Partner:

ACPAPP

89 Participants

October 2023

Upcoming Corporate Connect



Event Partner:

BDO Corporate Banking

Other Updates



New Clearing & Settlement System

Launched: March 27, 2023

- New Clearing and Settlement system procured from and customized by LSEG for Philippine market
- Upgrades SCCP's clearing, settlement, risk and collateral management capabilities
- Can handle multi-currency settlement

T+2 Settlement

Approved Date: August 24, 2023

- To reduce liquidity, operational, and counterparty exposure risks

ESG Initiatives

Climate Disclosure Training Program for PLCs

Provided a course for listed companies on Climate Disclosure in partnership with the UN SSE, IFC, and Climate Disclosure Standards Board.

Date:

February 3 and 16, 2022

Attendees:

256 participants from 119 PLCs

Women in Corporate Leadership

On March 7, 2023, PSE held a webinar on Women in Corporate Leadership in partnership with UN Women

2023 Bell Ringing for Gender Equality

On March 8, 2023, PSE joined other exchanges globally to support gender equality and women empowerment

ASEAN ESG Initiative

PSE is part of the ASEAN Exchanges working group that is actively developing a common set of core ESG metrics to address challenges around the availability of consistent and comparable ESG data.

The six Exchanges have already agreed on and completed common metrics for Environmental and Social aspects last December 2022; Governance metrics to be completed by September 2023.

Projects in the Pipeline

Develop ESG disclosure guidelines for PLCs to align with our peer exchanges

Conduct focus group discussions on relevant ESG themes.

Corporate Governance

Internal Controls or Risk Management Systems

- The Board, through the ARPT Committee, monitors and evaluates the adequacy of the Exchange's internal controls by ensuring that a review of the Exchange's material internal controls, including financial, operational and compliance control and risk management, is conducted at least annually.
- The Internal Audit Group (IAG) performed financial and operations audit and IT audit in accordance with the 2022 annual risk-based audit plan reviewed and approved by the Audit and Related Party Transactions Committee (ARPTC). Compliance with established standard operating policies and procedures of the Exchange, laws and regulations and other applicable standards and best practices are always part of the scope of review in all audit areas being audited. Audit areas are classified according to its criticality (high, moderate and low) as a result of the annual risk assessment conducted by IAG.
- SyCip Gorres Velayo & Co. conducted the audit of the 2022 financial statements of the Exchange and its subsidiaries.

Dividend Policy

- The PSE adopts a policy for the declaration of regular cash dividend out of the unrestricted retained earnings equivalent to fifty percent of the PSE's audited net income. However, PSE can also declare special dividends, which it has done so for the past few years, in addition to the regular dividend policy. The declaration of regular and special dividends is dependent on the cash flow, business plan and financial condition of the PSE.

Appraisal and Performance Reports for the Board and Criteria and Procedure for Assessment

- In accordance with the Exchange's Manual on Corporate Governance, the Board conducts an annual self-assessment exercise of its performance, including the performance of the Chairman, individual members and committees.
- At yearend, the Exchange's Corporate Secretary distributes self-evaluation questionnaires to the directors and gives scores based on the directors' ability to participate in corporate policy making, and to demonstrate a high level of professionalism and integrity in the decision-making process, among others. The Corporate Secretary then submits the report to the board of directors for discussion.

4 Golden Arrow Recognition



On January 20, 2023, the PSE received a **4-Golden Arrow recognition** from the Institute of Corporate Directors (ICD).

3 companies

5 arrow recognition (120–130 pts)

12 companies

4 arrow recognition (110-119 pts)

18 companies

3 arrow recognition (100-109 pts)

16 companies

2 arrow recognition (90-99 pts)

36 companies

1 arrow recognition (80-89 pts)

**85 total PLCs qualified out of
276 listed companies in 2021**

Products & Services in the Pipeline

Update on Short Selling Initiative

Salient Features

- All PSEi, MidCap, and DivY constituent companies and exchange traded funds are deemed Eligible Securities
- An Eligible Security cannot exceed a short interest ratio of 10%

Timeline of Approvals

- **May 24, 2023** - Acceptance of Offshore Collateral (SEC)
- **July 21, 2023** - Approval of PDTC as a Lending Agent (SEC)

Pending Regulatory Approvals

- Acceptance of GMSLA (BIR)



Pipeline of Initiatives



Derivatives

- To develop a framework for index futures and options
- **Status:** Ongoing learning sessions and consultations with other exchanges and foreign market participants



Fractional Trading

- Allows an investor to buy partial shares of a stock and make trades based on peso value instead of number of shares
- **Status:** Phase 1 to focus on amendment of board lot structure



Cross-Border Trading

- MOU with Shenzhen Stock Exchange (SZSE) enables information sharing, cross-market promotion, and cross-border product development
- **Status:** Ongoing working group discussions with SZSE

THANK YOU.



DOWNLOAD

on the App Store and Google Play



FOLLOW US ON



The Philippine Stock Exchange, Inc.



@phstockexchange

CONTACT US ON

Philippine Stock Exchange Tower

5th Avenue corner 28th Street
Bonifacio Global City
Taguig City 1634 Philippines

Tel No: +632 8876 4888

Email: info@pse.com.ph

VISIT

For Corporate Information

www.pse.com.ph

For Disclosures

edge.pse.com.ph

For Investing Materials

www.pseacademy.com.ph

© The Philippine Stock Exchange, Inc.(PSE). All rights reserved. This document is a property of the PSE and cannot be used or reproduced, distributed or forwarded by any person or company, in any form and in any manner, without the written consent of the PSE. Any and all unauthorized reproduction, distribution or forwarding of this document, in whole or in part, is subject to legal action.

This document is not intended for general circulation and does not, in any form, constitute legal, financial or investment advice and neither does it make any recommendation or endorsement to buy and/or sell any kind of investment product(s). The PSE reserves the right to make adjustments, omissions, corrections, and other similar actions to this document at any period of time. The PSE does not warrant or represent, expressly or impliedly, the accuracy, validity, correctness and completeness of the information stated in this document. The PSE, together with its affiliates and subsidiaries, expressly disclaim any and all liability arising from any actions or decisions made on the basis of this document, its content, and/or any changes, omission or error of the aforementioned.

Any views or opinions, either defamatory or complimentary, are solely those of the author/speaker and do not necessarily represent those of the PSE. The PSE together with its affiliates and subsidiaries will not accept any liability arising from the consequences of, and any actions or decisions made in respect to any statements expressed henceforth.